DETAILED INDEX - AFM THEORY BOOK BY CA NITIN GURU

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	Page 1.4 • Dividend Decision • Integrated Financial Policy • Balancing Financial Goals vis-à-vis Sustainable Growth • Defination • Key Factors • Borrowing Threshold • Variables for Calculation • Calculation Formula • Sustainable Growth Models • Cornerstones for Sustainable Growth • Factors making Organisation financially sustainable • Factors making Organisation sustainable **Important theory questions covered:** • Explain the advanced role of the CFO in value creation. • Explain the meaning, objectives, and functions of Strategic Financial Management. • Discuss the major financial decisions of an organisation. • Differentiate between corporate, business-unit and functional-level strategies. • Explain the financial planning process and its components • Explain the relationship between financial policy and strategic management. • Discuss sustainable growth and the factors affecting it.	
2	**Risk Management**	2.1 to 2.4
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	Page 2.3 • 2. Political Risk • 3. Interest Rate risk • 4. Currency Risk • Practice question **Page 2.4** • Question 1 • Question 2 **Important theory and practical questions covered:** • Identify and explain the different types of risks faced by an organisation. • Explain financial risk from the viewpoints of stakeholders, the company, and the government. • Define VaR and explain its features and applications. • Explain the components required for calculating VaR. • Discuss the methods of identifying and managing counterparty risk. • Explain the identification and mitigation of political risk. • Identify the factors affecting interest rate and currency risk. • Calculate the VaR of a portfolio for a specified time period and confidence level. • Analyse the risks faced by a company using a practical case study.	
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	• Conventional Techniques • Other Techniques • Advantages of risk-adjusted discount rate • Limitations of risk-adjusted discount rate • Advantages of Certainty Equivalents Method • Advantages of Sensitivity Analysis • Disadvantage of Sensitivity Analysis **Page 3.4** • Simulation Analysis (Monte Carlo) • Steps for Simulation Analysis • Advantages • Shortcomings • Decision Tree Analysis • Types of Situations • Steps in Decision Tree Analysis **Page 3.5** • Rules for Drawing a Decision Tree • Evaluation Rules • Capital Budgeting • Adjusted Present Value (APV) • Steps in APV Method • Advantages **Important theory and practical questions covered:** • Explain the impact of inflation, technological changes, and government policies on capital budgeting. • Discuss domestic and international capital budgeting decisions. • Explain the different types of risk affecting investment decisions. • Explain the risk-adjusted discount rate and the certainty equivalent method, including their advantages and limitations. • Differentiate between sensitivity analysis and scenario analysis. • Explain Monte Carlo simulation and its steps. • Explain decision tree analysis and the rules for evaluating decision alternatives. • Calculate the expected monetary value or evaluate alternatives using a decision tree. • Explain the Adjusted Present Value method and how it separates investment and financing decisions. • Calculate project value using the APV approach.	
4	**Security Analysis**	4.1 to 4.11
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- Empirical Evidence on Weak form of Efficient Market Theory

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	Page 4.10 • Technical analysis may be helpful. Critically analyse the statement • Arguments for Technical Analysis • Arguments against Technical Analysis • How cash flow-based approach of valuation is different from Income based approach and also explain briefly the steps involved in this approach • Equity Research Overview • Purpose: • Key Players • Evolution • Analyst's Role • Tech Impact • Accessibility • M&A Application **Page 4.11** • Straddles and Strangles • Straddles • Strangles **Important theory questions covered:** • Explain fundamental analysis and how intrinsic value helps an investor make investment decisions. • Discuss the key variables and factors affecting economic analysis. • Explain the techniques used in economic analysis. • Explain the factors affecting industry analysis. • Discuss regression analysis and input-output analysis. • Explain the important quantitative and qualitative factors considered in company analysis. • Explain the techniques used in company analysis. • Explain the principles and theories of technical analysis. • Explain Dow Theory, Random Walk Theory, and Elliott Wave Theory.	
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- Explain the objectives and process of portfolio management.
- Calculate the expected return and risk of a portfolio.
- Explain the importance of diversification.

	• Differentiate between systematic and unsystematic risk. • Explain the effect of correlation on portfolio risk. • Explain the efficient frontier and portfolio selection. • Discuss the risk-return trade-off in investment decisions. • Explain portfolio performance evaluation and revision. • Explain portfolio immunisation and its role in managing interest rate risk. • Solve portfolio-related numerical problems involving returns, risk and correlation.	
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	• Explain the role of the originator and SPV. • Discuss the advantages and limitations of securitization. • Explain credit enhancement and tranching. • Explain the applications of securitization in financial markets. • Discuss tokenization and its relationship with financial assets.	
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- Explain the relationship between inflation, interest rates and exchange rates.
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	• Explain asset-based, earnings-based and cash-flow-based valuation. • Calculate business value using the DCF method. • Differentiate between FCFF and FCFE. • Calculate the cost of equity, cost of debt and WACC. • Calculate terminal value and enterprise value. • Determine equity value from enterprise value. • Explain the effect of growth rates and discount rates on business valuation. • Explain the valuation of a business under different capital structures. • Solve business valuation problems using cash flows and valuation multiples.	
14	**Mergers, Acquisitions and Corporate Restructuring**	14.1 to 14.8
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	Page 14.6 • Acquisition Through Shares • Cross-Border M&A • Motivations for Cross-Border M&A • Special Purpose Acquisition Companies (SPACs) • Advantages • Challenges **Page 14.7** • Operational Issues • Note on LBO • Leveraging • Critics of Leveraged Buyout • Management Buyouts • Note on Equity Buyback **Page 14.8** • Effect of Buyback **Important theory and practical questions covered:** • Define mergers and acquisitions and explain their objectives. • Explain the different types of mergers. • Explain the concept of synergy and its benefits. • Calculate the value created by a merger or acquisition. • Determine the exchange ratio between the acquiring and target companies. • Evaluate the financial benefits of a proposed merger. • Calculate the consideration payable to shareholders. • Explain the factors to be considered while evaluating an acquisition. • Discuss the role of corporate restructuring in improving business value. • Solve practical case studies involving merger valuation and exchange ratios.	
15	**Startup Finance**	15.1 to 15.11
	Page 15.1 • Differences between a Startup and Entrepreneurship • Priorities and Challenges which startups in India are facing • Basics of Startup Financing • Some of the innovative ways to finance a Startup • 1. Personal Financing • 2. Personal Credit Lines • 3. Family and Friends • 4. Peer-to-peer lending • 5. Crowdfunding • 6. Micro Loans • 7. Vendor Financing • 8. Purchase Order Financing **Page 15.2** • 9. Factoring Accounts Receivable • Pitch Presentation in context of Start-up Business	

	Page 15.3 ● Modes of financing for Startups ● 1. Bootstrapping ● 2. Angel's investors ● 3. Venture Capital Fund **Page 15.4** ● Stages of Venture Capital Funding ● VC investment process **Page 15.5** ● Venture Capital Funds in India ● Structure a Venture Capital Fund in India **Page 15.6** ● Criteria for a Startup to Avail Government Scheme Benefits ● Supportive Environment for Startups in India ● Succession Planning In Business ● Meaning of Succession Planning ● Need for Succession Planning **Page 15.7** ● Business succession strategy ● Challenges ● Co-location/Proximity hosting ● Can a company with no commercial operation raise capital via an IPO? **Page 15.8** ● Tracking error. List the reasons for it. ● Concept Of Unicorn **Important theory and practical questions covered:** ● Explain the meaning, characteristics, and financing requirements of startups. ● Discuss the different sources and stages of startup funding. ● Differentiate between angel investors and venture capitalists. ● Explain equity financing and debt financing for startups. ● Explain pre-money and post-money valuation. ● Calculate startup valuation and ownership percentages. ● Calculate the dilution of existing shareholders after a funding round. ● Explain the valuation of new-age and technology-based businesses. ● Prepare or analyse projected financial statements for a startup. ● Estimate the funding requirements of a startup. ● Evaluate a startup investment from the investor's perspective.	